- **Window Dressing:** It is manipulating the accounts with a view to present better picture of the state of financial affairs than the actual.
- **Teeming and Lading of Fraud:** Teeming and Lading of Fraud means cash received from one customer is misappropriated and remittance received from another debtor is posted to the first debtors account.
- **EDP Audit:** EDP (Electronic Data Processing) is processing of data by the computer and its program in an environment involving electronic communication.

EVALUATION

RNDCQQ

I. Multiple Choice Questions

1. The term "Audire" literally means _____ .
   a. to hear
   b. to check
   c. to prevent
   d. to inform

2 The term audit is derived from _____ .
   a. Latin
   b. French
   c. Greek
   d. Japanese

3 Primary object of auditing is to _____ .
   a. Detect fraud
   b. Detect error
   c. Prevent fraud and error
   d. Verify of accounts and statement

4. Transposition of figure is an error of _____ .
   a. Principle
   b. Omission
   c. Commission
   d. Compensation

5. Incorrect addition, wrong postings and entries are errors of _____ .
   a. Commission
   b. Duplication
   c. Principle
   d. Omission

6. Accounts seem to indicate much better and sound financial position of the business enterprises _____ .
   a. Amortization
   b. Teeming and lading
   c. Secret reserve
   d. Window dressing

7. The wrong allocation of amount between capital and revenue is an error of _____ .
   a. Compensation
   b. Principle
   c. Commission
   d. Omission

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